

Volume growth & Price/Mix for next year

- **Fabric Care:**
Q1 FY27 volume growth was around 10%. Slightly higher volume growth is expected for the remaining quarters due to seasonal demand and continued momentum in the segment. An average volume growth of around **11.5%** is assumed for FY27.
A Price/Mix of **4%** is assumed for FY27, based on Q1 FY27 implied Price/Mix of around 3.75% and the total price increase of around 4% implemented in the Fabric Care segment during the latter part of FY26 and Q1 FY27, with the full impact expected from Q2 FY27.
- **Home Care:**
In Q1 FY27, Home Care recorded around 9% value growth decline including Pril, mainly due to the Pril exit. The segment also saw a volume decline of around 12%-15%. For the remaining quarters, a similar range of decline is assumed as the newly launched Exo Dishwash Liquid, which is expected to help replace part of the Pril business, is still at an early stage and is not expected to gain significant market share immediately. Therefore, a volume decline of **13%** and Price/Mix of **4%** are assumed for FY27.
- **Personal Care:**
Personal Care had a price increase of around 9%-10% during Q1 FY27 and the latter part of FY26, while volume declined by approximately 8% in Q1 FY27, resulting in almost flat value growth. The weakness was mainly due to supply-chain disruptions and higher input costs. Better performance is expected in the remaining quarters as these pressures ease. A volume decline of **5%** and Price/Mix of **9%** are assumed for FY27.

Volume growth & Price/Mix for year 2-5

- **Fabric Care:**
Higher growth in modern trade, e-commerce and quick commerce, along with consumers moving toward premium-priced formats such as liquid detergents, could help Jyothy achieve double-digit volume growth during FY28–FY31. An average **10%** volume growth CAGR is therefore assumed over these periods.
By early FY28, raw material prices are assumed to stabilize, which could increase competitive intensity as local players enter the market. This may limit the ability of companies to implement high price increases every year. Considering this, along with inflation, premiumisation and the historical Price/Mix for Fabric Care, a moderate **2%** Price/Mix is assumed during these periods. *(The price/mix for fabric care in the past periods are very volatile based on crude oil prices. During high inflationary periods, price/mix rose upto 9% and during deflationary periods price/mix is as lower as 1% to not let local players take market shares).*
- **Home Care:**
The company is planning to spend more on advertising, promotions and distribution to strengthen its Exo franchise, which includes bars, liquids and scrubbers, and become a more prominent player in the Indian dishwash segment. The newly launched Exo Dishwash Liquid has received a good initial response and is expected to gain market share over the coming periods. The Indian dishwashing segment is also expected to benefit from consumers shifting toward liquid formats. In the insecticides category, Maxo

continues to improve its product mix by selling more premium products such as Liquid Vaporizers.

It is assumed that Home Care will achieve lower double-digit average volume growth of **12%** and a **1%** Price/Mix during these periods, as both the Dishwash and Insecticides categories remain highly competitive and the company has historically used price cuts to gain market share.

- **Personal Care:**

Personal Care products sold by Jyothy are mainly mass-market hygiene products, and the company currently has limited presence in the faster-growing beauty sub-category.

Personal Care showed sluggish value growth over the last few periods, except for Q4 FY26, and the segment is currently under recovery. Better performance is expected in future periods as the temporary supply-chain issues ease and demand normalizes. A higher single-digit average volume growth of **8%** and a **1%** Price/Mix are assumed for these periods, as the segment remains largely mass-market and has limited pricing power.

Volume Growth Drivers	Fabric Care	Home Care	Personal Care
Segment Growth	6.00%	7.00%	3.00%
Market Share Gain	1.00%	2.00%	2.00%
Distribution	2.00%	2.00%	2.00%
New Products	1.00%	1.00%	1.00%
Total	10%	12%	8%

Value growth for year 6-10

- Value growth for these periods is assumed based on the estimated long-term industry growth of each segment, along with a gradually reducing company-specific growth contribution from distribution expansion, geographical expansion, new product launches and modest market-share gains in key categories.

	Fabric Care	Home Care	Personal Care
Segment Growth	6.00%	7.00%	3.00%
Company specific growth	2.00%	2.00%	2.00%
Total	8.0%	9.0%	5.0%

EBIT Margin for next year

- In the Q1 FY27 earnings call, the company indicated that a large portion of its business is linked to crude oil prices. Therefore, profitability is expected to remain significantly influenced by raw material prices. EBIT margin for the remaining quarters is expected to remain close to Q1 FY27 levels which was reported as 6.28%, as higher-cost raw materials purchased during previous periods continue to flow through the P&L. Some improvement is expected in the latter part of FY27, depending on raw material prices and the broader geopolitical environment.
- An EBIT Margin of **7.2%** is assumed for FY27 based on average of Q1 actual and rest of the quarters margin estimate.

	Q1FY27A	Q2FY27E	Q3FY27E	Q4FY27E
EBIT Margin	6.28%	6.90%	7.50%	8.10%

EBIT Margin for year 2

- The current high raw material costs are expected to continue affecting the early quarters of FY28 due to the lag in inventory costs. Raw material prices linked to crude oil are assumed to gradually stabilize by early FY28, allowing the company to start realizing lower COGS and better margins during the latter part of FY28.
- As raw material costs decline, the price increases implemented during FY26 and FY27 could support higher margins in the later quarters of FY28, as selling prices may take time to normalize.

Q1FY28E	Q2FY28E	Q3FY28E	Q4FY28E
10.00%	11.00%	13.00%	13.00%

- An average EBIT Margin of **11.75%** assumed for FY28.

EBIT Margin for year 3-5

- Margins are assumed to improve by Year 3, with the company gradually returning toward a more normalized margin level of around **15%** during these periods.

EBIT Margin for year 6-10

- By Year 6, Jyothy is assumed to have benefited from greater scale in its core brands, particularly Exo, alongside wider distribution, higher premiumisation and improved manufacturing utilisation. Successful expansion of the Exo franchise and broader pan-India penetration of existing brands could allow revenue to grow faster than the underlying fixed operating-cost base, creating operating leverage. These factors are assumed to support a gradual improvement in EBIT margin toward **19%**, broadly consistent with the profitability levels observed among established FMCG peers.

Op. EBIT Margin	2026	2025	2024	2023	2022	2021	2020
HUL	21.26%	21.90%	21.70%	21.40%	22.43%	22.43%	18.68%
Godrej	19.11%	19.86%	19.26%	16.57%	17.91%	19.90%	19.74%
P&G	26.43%	24.86%	21.87%	20.69%	19.96%	23.44%	18.58%
Colgate-Palmolive	28.56%	29.71%	30.44%	26.25%	27.20%	27.43%	22.18%
Jyothy	13.21%	15.61%	15.61%	10.72%	7.25%	12.68%	10.45%
Avg. Peer Margin	21.71%	22.39%	21.78%	19.13%	18.95%	21.18%	17.93%

Terminal Growth rate

- A terminal growth rate of **5.5%** is assumed, reflecting the long-term growth potential of a mature FMCG business. Jyothy's long-term growth is expected to be supported by inflation, rising incomes, consumption growth and a modest contribution from premiumisation and market-share gains. Therefore, once the company reaches a mature stage, revenue growth is assumed to normalize to 5.5%, which is above India's long-term inflation target but well below the country's broader nominal economic growth potential.
- The 5.5% assumption broadly reflects a 4% long-term inflation anchor, with the remaining growth supported by population/consumption growth, premiumisation and modest market-share gains.

Terminal EBIT

- By the terminal year, Jyothy is assumed to have successfully scaled its key brands, particularly the Exo franchise, while expanding the presence of its existing brands across India. Greater scale across the company's distribution network, manufacturing base and advertising investments is expected to improve operating leverage and support higher profitability.
- A terminal EBIT margin of **17%** is therefore assumed, reflecting the benefits of scale, premiumisation, operating leverage and stronger brand positioning, while remaining below the current profitability levels of several established FMCG peers. The assumption also represents a moderation from the 19% EBIT margin assumed during Years 6–10, reflecting a mature-state environment where further margin expansion is expected to be limited.

Terminal ROC

- By the terminal year, Jyothy is assumed to have slightly better brand positioning and distribution efficiency. These factors are expected to provide the company with a modest competitive advantage that is not very easy to replicate. Based on this, a terminal ROC slightly above the WACC is assumed, with a spread of approximately 350 bps.
- Terminal ROC = WACC + Spread = 10.5% + 3.5% = **14%**.

Tax Rate

- The tax rate is assumed at **26%** because management has indicated that the company would move to the Section 115BAA tax regime in FY27, with the tax rate expected to be around 25%–26%. Since this is a structural change in the tax regime rather than a temporary difference, the tax rate is assumed to remain broadly similar throughout the remaining forecast period, including the terminal year.

Working Capital Days

- Working capital days are held constant at **15 days** (FY26 level) throughout the forecast period. Historical working capital has been volatile with no clear structural trend, therefore, no improvement or deterioration is assumed.

Gross CAPEX & PP&E Depreciation as % of Revenue

- Gross Capex and PP&E depreciation are forecast as a percentage of revenue based on historical levels. The company has also indicated that capex is expected to remain broadly similar to current levels in the near term.